

SERVICE AGREEMENT

This Service Agreement ('Agreement') is entered into as of January 15, 2025, between Contoso Ltd., a Delaware corporation ('Provider'), and Fabrikam Inc., a Washington corporation ('Client').

1. SERVICES

Provider agrees to deliver cloud migration consulting services including:

- Assessment of existing on-premises infrastructure
- Design of target Azure architecture
- Migration execution for 47 virtual machines and 12 databases
- Post-migration monitoring for 90 days

2. TERM

This Agreement is effective from February 1, 2025 through January 31, 2026. Either party may terminate with 30 days written notice.

3. COMPENSATION

Client shall pay Provider a total of \,450,000 USD, structured as:

- Phase 1 (Assessment): \,000 due upon signing
- Phase 2 (Design): \,000 due upon design approval
- Phase 3 (Migration): \,200,000 payable monthly over 6 months
- Phase 4 (Monitoring): \,000 due upon migration completion

4. OBLIGATIONS

Provider shall:

- Assign a dedicated team of no fewer than 8 engineers
- Maintain SOC 2 Type II compliance throughout the engagement
- Provide weekly status reports to Client's CTO
- Ensure zero data loss during migration

Client shall:

- Provide VPN access to on-premises environment within 5 business days
- Designate a project lead with decision-making authority
- Make Azure subscription available with appropriate quotas

5. CONFIDENTIALITY

Both parties agree to maintain strict confidentiality of all proprietary information exchanged during this engagement for a period of 3 years following termination of this Agreement.

6. LIABILITY

Provider's total liability shall not exceed the total contract value. Neither party shall be liable for indirect, consequential, or punitive damages.

7. GOVERNING LAW

This Agreement shall be governed by the laws of the State of Washington.

SIGNATURES:

_____ Sarah Chen, CEO Contoso Ltd. Date: January 15, 2025	_____ James Rodriguez, CTO Fabrikam Inc. Date: January 15, 2025
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